MarxKapital: A Computational Framework for Marxian Value Theory with Real Empirical Calibration

Nigel Randsley

July 2026

Abstract

We present MarxKapital, an open-source Julia package for the mathematical modeling of Marxian value theory: capital accumulation, the tendency of the rate of profit, the transformation of labor values into prices of production, and the sectoral dynamics of expanded reproduction. Beyond the classical two-department and generalized N-department reproduction schemes, the package implements three complementary mechanisms for coupling sectoral accumulation through the technical matrix A — capital mobility, an aggregate realization-pressure heuristic, and an exact per-sector quantity-rationing scheme solved by fixed-point iteration — without recourse to differential-algebraic equation (DAE) solvers; the rationing mechanism is validated numerically and demonstrated qualitatively on a synthetic economy, but not yet against real per-sector accumulation data, for which no suitable time series currently exists. We further present a live, reproducible empirical pipeline that calibrates the model directly from official European statistical sources (Eurostat and AMECO, via their SDMX REST APIs), replacing the synthetic or ad hoc calibration common in the computational Marxian literature. Applying this pipeline to Portugal, we document a sectoral profile for 2022 and an aggregate profit-rate series for 1996–2022, and in doing so surface and correct two distinct measurement problems rather than one. External review of an earlier draft identified a genuine stock-flow conflation in the model itself: gross output was computed as $O_i = C_i + V_i + S_i$, adding a capital *stock* directly to two annual *flows*. We correct this — output now uses the capital *transferred* in a period, $O_i = \delta_i C_i + V_i + S_i$ — and replace an aggregate depreciation term that used a flat 10% of the capital stock with AMECO's own consumption-of-fixed-capital series. The correction has a clean, checkable consequence: the rate of exploitation, computed as $(Y - V)/V$, becomes exactly invariant under a common deflator applied to Y and V, as the algebra requires, which it was not before the fix. With this in place, Portugal's profit rate for 1996–2022 sits in an 8–12% band under three deflation conventions we test, modestly rising or mildly declining depending on which is used, rather than the dramatic swing an earlier, buggy version of this calibration reported. We treat this two-stage correction — catching a stock-flow error, then re-measuring valuation sensitivity correctly on top of it — as a contribution in its own right, alongside the specific empirical numbers, and report it in that spirit.

1 Introduction

Empirical and computational work in the Marxian tradition faces a recurring reproducibility problem: profit-rate and organic-composition estimates in the literature are frequently produced by bespoke, non-public spreadsheets or scripts, calibrated to data sources whose vintage and exact construction are difficult to reproduce [Shaikh, 2016, Duménil and Lévy, 1993]. At the same time, existing open computational implementations of Marxian reproduction schemes tend to rely on synthetic or randomly generated sectoral data for demonstration purposes, since assembling a real technical (input-output) matrix, real sectoral value-added and employment series, and real capital stock data from official sources is itself a substantial undertaking.

MarxKapital is an attempt to close both gaps at once. It is, first, a methodological contribution: a Julia implementation of the classical two-department reproduction scheme, its generalization to N departments, the labor-value and Sraffian production-price apparatus for the transformation problem, and — the paper's central technical contribution — three distinct mechanisms for coupling N-department accumulation dynamics through the technical matrix, culminating in an exact quantity-rationing scheme in the spirit of the disequilibrium-macro literature [Barro and Grossman, 1971, Bénassy, 1975], implemented without the numerical machinery a literal differential-algebraic formulation would require. This last mechanism is validated numerically and demonstrated on a synthetic economy (Section 5.4); it has not yet been tested against real per-sector accumulation data. It is, second, an empirical contribution: a live data pipeline that fetches real sectoral national accounts, input-output tables, and macroeconomic series from Eurostat and the European Commission's AMECO database via their official SDMX REST APIs, and uses them to calibrate every quantity the model needs — constant and variable capital, the rate of exploitation, the organic composition, the technical matrix itself, and (optionally) a perpetual-inventory capital-stock series — with no synthetic fallback unless explicitly requested.

We use this pipeline to calibrate the model for Portugal and report two sets of results: a detailed 19-sector profile for 2022, and an aggregate time series of the rate of exploitation, organic composition, and profit rate for 1996–2022. An earlier draft of this paper reported the latter series with a genuine defect: gross output throughout the model, $O_i = C_i + V_i + S_i$, added a capital *stock* (C_i) to two annual *flows* (V_i, S_i), and the aggregate time series used a flat 10% of the capital stock as its depreciation deduction rather than reported data. External review caught both. The stock-flow fix replaces C_i in every output-facing formula with $\delta_i C_i$, the capital *transferred* in a period; the depreciation fix replaces the flat 10% with AMECO's own consumption-of-fixed-capital series. Together they have a checkable algebraic consequence, which we verify directly: the rate of exploitation $e = (Y - V)/V$ is now exactly invariant under a common deflator applied to Y and V, as it must be, which it demonstrably was not under the earlier, buggy formula. With the fix in place, we re-examine the same valuation question the earlier draft raised — whether AMECO's mixed-valuation capital and flow series distort the measured trend — and find a real but much more modest effect than before: Portugal's profit rate sits in an 8–12% band across three deflation conventions over 1996–2022, moving mildly in either direction depending on which is used, with the residual sensitivity now concentrated in the profit rate (through the classical capital-advanced denominator $C + V$) rather than in the rate of exploitation. We report the whole sequence — the bug, the fix, and the correctly-measured residual sensitivity — rather than only the final numbers, since the sequence is itself the more durable methodological lesson.

The remainder of the paper is organized as follows. Section 2 situates the model in the relevant theoretical literature. Section 3 presents the model itself, including the coupled N-department dynamics and the quantity-rationing mechanism. Section 4 describes the empirical calibration pipeline and the Portuguese data. Section 5 reports results. Section 6 discusses the findings and the model's limitations. Section 7 concludes.

2 Related work

The theoretical foundations implemented here are classical: the reproduction schemes of Marx [1976], the tendency of the rate of profit discussed in Marx [1981], and the transformation of values into prices of production, for which we adopt the Sraffian linear-production-price formulation of Sraffa [1960]. Okishio [1961] established the conditions under which technical change and the choice of technique affect the profit rate, a result the package's technical-matrix machinery is built to be consistent with, though we do not implement an explicit choice-of-technique search. On the empirical side, Shaikh [2016] and Duménil and Lévy [1993] are the standard references for long-run profit-rate estimation from national accounts; our approach differs mainly

in emphasizing a fully automated, re-runnable data pipeline over manual series construction. Closer in spirit is the strand of empirical Marxian work that estimates the profit rate and its components econometrically from official national-accounts series over long time spans [Basu and Manolakos, 2013], and the broader program of Marxian estimation from harmonized international input-output databases such as the World Input-Output Database; MarxKapital shares the latter's emphasis on a real technical matrix rather than a value-only aggregate calibration, but differs in coupling that matrix to explicit accumulation dynamics rather than using it for static decomposition alone. The monetary-expression-of-labor-time problem we flag in Section 5.3 is treated at length in Freeman and Carchedi [1996]. The exact quantity-rationing mechanism introduced in Section 3.3 draws on the disequilibrium-macroeconomics literature on short-side rationing rules, in particular Barro and Grossman [1971] and Bénassy [1975], applied here to a Leontief-technology setting rather than the labor/goods markets those papers originally analyze.

3 The model

3.1 The classical two-department scheme

The package's starting point is Marx's classical two-department scheme: Department I produces means of production, Department II produces consumption goods. Each department $d \in \{1, 2\}$ is characterized by constant capital C_d, variable capital V_d, and a rate of exploitation e_d, giving surplus value $S_d = e_d V_d$, organic composition $k_d = C_d/V_d$, and profit rate $r_d = e_d/(k_d + 1)$. Accumulation follows

$$\dot{C}_d = \sigma_{c,d} S_d - \delta_d C_d, \qquad \dot{V}_d = \sigma_{v,d} S_d, \tag{1}$$

where $\sigma_{c,d} + \sigma_{v,d} + \gamma_d = 1$ splits surplus value between reinvestment in constant capital, reinvestment in variable capital, and capitalist consumption, and δ_d is a depreciation rate. Throughout, C_d denotes constant capital *advanced* — a stock, the state variable accumulating in the equation above, on which organic composition and profit rate are conventionally computed. This is distinct from the constant capital *transferred* to output during a single period, $\delta_d C_d$ under the model's single depreciation rate — the quantity that belongs in a period's value-of-product identity, $W_d = \delta_d C_d + V_d + S_d$, not C_d itself. An earlier version of this paper conflated the two (using $C_d + V_d + S_d$ as gross output throughout), which produces a value-of-product figure dominated by a stock rather than a period flow; Section 3.3 and Section 6.2 discuss the fix and its consequences. Intersectoral consistency (does Department I's wage and unaccumulated-surplus income suffice to buy Department II's output, and vice versa) is checked *a posteriori* by a dedicated consistency function, not imposed inside the differential system — a design choice the N-department generalization inherits and, in one respect, improves upon (Section 3.3).

3.2 Generalization to N departments and the technical matrix

For N sectors, the model introduces a technical matrix $A \in \mathbb{R}_{\geq 0}^{N \times N}$, with A_{ij} the value of good i required as input per unit of output of sector j, constructed either synthetically (with structural options for random, triangular, or block sparsity patterns, always rescaled to spectral radius below unity) or — our empirical contribution — from a real input-output table (Section 4). Given A and a labor-coefficient vector l, labor values follow the Leontief inverse, $\lambda = (I - A)^{-1} l$, and Sraffian production prices follow

$$p = w(1 + \bar{r}) \left[I - (1 + \bar{r}) A^{\top} \right]^{-1} l, \tag{2}$$

valid for any uniform profit rate $\bar{r}$ below the maximum feasible rate $R_{\max} = 1/\lambda_{\max}(A^{\top}) - 1$, where $\lambda_{\max}$ denotes the dominant eigenvalue. The baseline N-department accumulation system

treats sectors as independent, exactly mirroring the two-department equations sector by sector; A is available to the value/price apparatus above but does not, in this baseline system, feed back into the accumulation dynamics themselves.

3.3 Coupling sectors through A: three mechanisms

The baseline independence of sectors is a known limitation of purely value-accounting reproduction models: physically, one sector's constant capital is another sector's output, and the technical matrix should constrain how much investment a sector can realize, not merely how its value and price magnitudes are computed. MarxKapital implements three progressively more demanding mechanisms to address this, all opt-in and mutually composable except where noted, applied to a coupled system whose accumulation equation for constant capital becomes

$$\dot{C}_i = \kappa_i \, \sigma_{c,i} S_i - \delta_i C_i + \mu \, (r_i - \bar{r}) \, C_i, \tag{3}$$

where r_i is computed with constant capital valued at Sraffa production prices (using the current aggregate profit rate, clamped below $0.95\,R_{\max}$ to avoid the pricing singularity, with a labor-value fallback if the price system is ill-conditioned) rather than raw book value, so that A enters the dynamics through valuation as well as through the mechanisms below.

Capital mobility. The term $\mu(r_i - \bar{r})C_i$ reallocates investment toward above-average-profit sectors, a direct computational analogue of capital's tendency to flow toward higher returns. We note without resolving it that this term is not guaranteed to conserve aggregate constant capital: $\sum_i \mu(r_i - \bar{r})C_i = 0$ requires $\bar{r}$ to equal the C_i-weighted average of the r_i, whereas $\bar{r}$ is computed as the aggregate ratio $\sum_i S_i / \sum_i (C_i + V_i)$ (Equation above), which need not coincide with that weighted average since each r_i's own denominator includes V_i as well as C_i. Mobility can therefore create or destroy aggregate constant capital rather than purely reallocating it; we flag this as an open modeling question in Section 6.2 rather than a resolved design choice.

Aggregate realization pressure. Setting $\kappa_i \equiv \min(\rho_{\text{real}}, 1)$ uniformly across sectors, with $\rho_{\text{real}} = \sum_i \min(O_i, (AO)_i) / \sum_i (AO)_i$ and gross output $O_i = \delta_i C_i + V_i + S_i$ (capital *transferred*, not the stock C_i — Section 3.1), dampens planned reinvestment economy-wide whenever aggregate intermediate demand implied by A and current outputs exceeds what those same outputs can supply. This is a coarse, aggregate approximation — it does not distinguish which sectors are actually constrained — but requires no iterative solution.

Exact per-sector quantity rationing. The paper's central technical contribution replaces the aggregate heuristic with a genuine per-sector rationing scheme. Under Leontief technology, a sector's planned reinvestment cannot substitute a shortage of one input with more of another; realized investment is bounded by the scarcest required input, and a sector's own shortfall reduces its effective demand for *all* its inputs, which in turn affects the rationing faced by its suppliers. This makes the problem simultaneous. Writing $\rho_i \in (0, 1]$ for the rationing factor faced by *suppliers* of good i and κ_j for the realized fraction of planned reinvestment for *buyer* j, the fixed point is

$$\kappa_j = \min_{i:\, A_{ij} > 0} \rho_i, \qquad D_i = \sum_j A_{ij} \, \kappa_j \, \sigma_{c,j} S_j, \qquad \rho_i = \min\left(1, \frac{O_i}{D_i}\right). \tag{4}$$

Two modeling simplifications in Equation (4) deserve comment. First, A_{ij} multiplies planned constant-capital *expenditure* $\kappa_j \sigma_{c,j} S_j$ directly, as if a unit of investment expenditure by sector j requires the same input mix as a unit of j's physical output; we do not separately track a capital-output conversion, and this identification should be read as an explicit simplifying assumption, not a derived relationship. Second, the full supply O_i is treated as available to meet

investment demand, though in reality output must also replace intermediate inputs and meet consumption and other final demand first; the mechanism therefore represents an upper bound on investable supply, and is best read as constraining the investment-goods side of reproduction specifically (we return to this in Section 6.2's discussion of final-demand microfoundations). We solve this by damped (under-relaxed) fixed-point iteration inside the right-hand side of the ODE at every solver evaluation, in exactly the same spirit as the Sraffa-price linear solve above, rather than exposing (ρ, κ) as differential-algebraic state to the solver. This choice is deliberate: a literal DAE formulation (mass-matrix or index reduction) or a general nonlinear-complementarity solver would add real numerical risk and a new package dependency for no benefit over the fixed point, which we verified converges reliably (a closed-form two-sector example with a known solution $\rho_1 = \sqrt{0.8}$, and no convergence failures across more than twenty parameter combinations at $N = 8$ and at $N = 19$). We emphasize that undamped iteration is *not* reliable here: we verified by hand that a small two-sector example oscillates indefinitely between two states without under-relaxation, a concrete instance of the well-known failure mode of naive Picard iteration on min-based maps.

Mathematical structure of the fixed point. The convergence claim above is empirical, but three structural facts about the map in Equation (4), $F : \rho \mapsto \rho(D(\kappa(\rho)))$, can be established directly rather than left as an unexplained regularity. The natural first instinct — following the spectral-radius condition $\rho(A) < 1$ that already governs the linear Leontief/Sraffa system of Section 3.2 — is to look for an analogous Banach-contraction argument for F. This does not transfer: $\rho(A) < 1$ bounds a different, linear map, and, as we show below, it does not by itself bound F's local behavior. What can be established is more specific to F's own structure.

Existence is unconditional. D_i is clamped away from zero ($\max(D_i, \varepsilon)$ for a small $\varepsilon > 0$, avoiding division by zero when a sector's rationed suppliers deliver no input at all), and κ_j is defined as 1 when j's input column is empty (no supplier to be rationed by). With these two conventions stated explicitly, κ, D, $\rho(\cdot)$ are continuous on $[0, 1]^N$, so F is a continuous self-map of this compact convex set. Brouwer's fixed-point theorem therefore guarantees *a* fixed point exists for every admissible (A, σ_c, S, O), independent of whether any particular iterative scheme converges to it. Existence does not imply uniqueness: because F is antitone (below), the model could in principle admit multiple fixed points or a genuine two-cycle rather than converging under damping. We do not have a uniqueness proof; what we have is a direct empirical check, run against a real 19-sector matrix under a synthetic demand shock tight enough to bind every sector ($\kappa_i < 1$ for all i), varying the initial ρ (50 uniform draws on $(0.1, 1]^N$), the sector ordering (20 permutations, unpermuted after solving), and the convergence tolerance (10^{-4} to 10^{-12}): the damped iteration reached the same fixed point to numerical precision ($< 10^{-6}$) in every case. This is evidence of practical uniqueness in the regime we test, not a proof of uniqueness in general.

F is antitone (order-reversing) in ρ. $\kappa_j(\rho) = \min_{i:A_{ij}>0} \rho_i$ is isotone (a minimum is monotone in each argument); $D_i(\kappa) = \sum_j A_{ij}\kappa_j\sigma_{c,j}S_j$ is isotone (a nonnegative linear combination); and $D \mapsto \min(1, O_i/D_i)$ is antitone (decreasing in D_i). Composing two isotone maps with one antitone map yields an antitone map. This is the structural reason undamped Picard iteration oscillates rather than diverging or slowly converging: iterating an antitone map is a setting in which two-cycles, rather than convergence, are a characteristic possible failure mode, because $F \circ F$ — not F itself — is isotone. Our two-sector example instantiates this known qualitative behavior of order-reversing maps; it is not evidence that every antitone map in this class oscillates, only that oscillation is a real and structurally-explained possibility rather than an unexplained curiosity.

Damping relocates a real eigenvalue, exactly. At an interior fixed point ρ^* (no ρ_i pinned at

a boundary), differentiating Equation (4) gives Jacobian entries

$$\frac{\partial F_i}{\partial \rho_k} = -\frac{O_i}{D_i^2} \sum_{j:\, i^*(j)=k} A_{ij}\, \sigma_{c,j} S_j \;\le\; 0, \tag{5}$$

where $i^*(j)$ denotes a supplier attaining the minimum defining κ_j — confirming antitonicity locally, in agreement with the global argument above. For the damped step $\rho \mapsto (1-\alpha)\rho + \alpha F(\rho)$, a real Jacobian eigenvalue λ of F at ρ^* maps to $\mu(\alpha) = (1-\alpha) + \alpha\lambda$, and $\alpha^\star = 1/(1-\lambda)$ sets $\mu(\alpha^\star) = 0$: damping at $\alpha^\star$ exactly annihilates the local linear error mode associated with λ. This is a statement about one eigenvalue, not a claim that the full damped iteration converges superlinearly in general — that would additionally require every other eigenvalue of the local Jacobian to vanish or to already lie well inside the unit disc at $\alpha^\star$, conditions we have not checked in general. This is not hypothetical: for the closed-form two-sector example above, the Jacobian collapses to a single active eigenvalue $\lambda = -1$ exactly (verified both algebraically from the formula above and numerically), for which $\alpha^\star = 1/(1-(-1)) = 0.5$ — precisely the relaxation value the package uses by default, not a value tuned after the fact to make this example converge.

We also checked directly whether a global, $\rho(A)$-style Lipschitz bound exists for F, rather than assuming one does not. Write $L_i = \sum_j A_{ij}\sigma_{c,j}S_j$ for the full (unrationed) demand on good i and $r_i = O_i/L_i$. A global Lipschitz constant for F on the box $[\rho_{\min}, 1]^N$ is $K = \max_i O_i/(\rho_{\min}^2 L_i) = \max_i r_i/\rho_{\min}^2$; requiring F to map the box into itself forces $\rho_{\min} \le \min_i r_i$, and at the tightest admissible choice $\rho_{\min} = \min_i r_i$ the bound gives $K \ge 1/\min_i r_i > 1$ whenever any sector is actually rationed ($r_i < 1$ for some i) — i.e. this style of global bound is provably vacuous in exactly the regime the mechanism is designed for. We report this as a genuine negative result rather than omit it: no clean global contraction constant in the spirit of $\rho(A) < 1$ exists for this map by this route, which is why we rely on the local analysis above, together with the empirical convergence sweep reported earlier in this section (twenty-plus parameter combinations at $N = 8$ and $N = 19$, no failures), rather than a single global theorem.

None of the three mechanisms imposes exact market clearing at every instant for every sector as a hard constraint solved simultaneously with the differential state — that would require the DAE formulation we deliberately avoid. A dedicated consistency-check function generalizes the two-department *a posteriori* check to N sectors, reporting the per-sector gap $O_i - (AO)_i$ and the aggregate realization ratio at a given point in the trajectory, for diagnostic use outside the dynamics themselves.

4 Empirical calibration

4.1 Data sources

MarxKapital fetches four families of real sectoral and macroeconomic data [Eurostat, 2026b,a, European Commission, Directorate-General for Economic and Financial Affairs, 2026], each via an official SDMX REST API rather than a static file:

- **Sectoral value added, compensation, and consumption of fixed capital** from Eurostat's national accounts by industry (`NAMA_10_A64`), at the 19-section NACE Rev. 2 level.
- **Sectoral employment and gross fixed capital formation** from the companion Eurostat datasets `NAMA_10_A64_E` and `NAMA_10_A64_P5`.
- **A real technical matrix** from Eurostat's symmetric input-output table at basic prices (`NAIO_10_CP1620`), product by product, aggregated to Leontief technical coefficients weighted by sectoral value added.

- **Aggregate macroeconomic series** (GDP, employment, compensation, capital stock, and eighteen further variables) from the European Commission's AMECO database.

All four sources were, until recently, distributed as static bulk files with heuristic, undocumented formats; both institutions have since migrated to official SDMX REST APIs, which MarxKapital uses directly, with the legacy static-file parsers retained only as a manual fallback.

4.2 Constructing the technical matrix

The symmetric input-output table records trade and transport margins as part of national-accounting convention, which can produce negative entries in the trade and transport product rows when the raw flows are aggregated naively to a coarser sectoral grouping. We avoid this by building the technical matrix at the full 19-sector resolution first — where the margin artifacts are confined to individual cells and can be clipped to zero without discarding genuine flows from other sectors — and only then aggregating, when a coarser grouping is needed, using the standard Leontief aggregation formula (value-added-weighted averaging of already non-negative coefficients) rather than re-aggregating raw flows. The resulting 19-sector matrix for Portugal is well behaved: non-negative throughout, with spectral radius $\rho(A) \approx 0.13$ (Figure 3), comfortably below unity.

4.3 Depreciation and capital stock

By default the model uses the net capital stock reported directly by Eurostat for the requested year. As an option, it instead constructs a perpetual-inventory series, $K_t = (1 - \delta)K_{t-1} + I_t$, seeded from the earliest year with both a reported stock and investment series, with δ estimated per sector from the ratio of consumption of fixed capital to stock in that base year rather than assumed. This uses a single depreciation rate per sector, not differentiated by asset type; we return to this simplification in Section 6.2.

The aggregate AMECO capital-stock series used in Section 5.2 (item `OKND`, "net capital stock at 2020 prices") is, by contrast, already a constant-price (volume) series, whereas AMECO's wage (`UWCD`) and output (`UVGD`) series are current-price. The pipeline exposes both the raw combination and valuation-consistent alternatives that deflate the wage and output series by AMECO's own GDP deflator (`PVGD`=`UVGD`/`OVGD`×100) or investment-goods deflator (`PIGT`) onto the same basis as the capital stock; Section 5.2 reports all three. The period's surplus in this aggregate calculation, $Y - V - \text{CCF}$, uses AMECO's own consumption-of-fixed-capital series (item `UKCT`, current-price, deflated consistently with V and Y in each convention) rather than an assumed fraction of the capital stock; an earlier version of this calculation used a flat 10% of the (constant-price) capital stock, which breaks the algebraic invariance of $e = (Y - V)/V$ under a common deflator applied to Y and V — an inconsistency we found via external review and verify is now resolved in Section 5.2.

Sectoral estimates of e (Section 5.1) impose a floor of 0.1: a small number of sectors have business income, net of consumption of fixed capital, close to zero or negative relative to compensation, which the model's positivity requirement on e (Section 3.1) does not allow. This is an imposed value, not a purely empirical one, and the pipeline now reports explicitly how many sectors hit it (Section 5.1) rather than leaving the floor invisible in the reported figures.

5 Results: Portugal

5.1 Sectoral profile, 2022

Table 1 reports the calibrated rate of exploitation, organic composition, profit rate, and gross value added (VAB, sourced directly from the underlying Eurostat data, not reconstructed from

model parameters) for all 19 sections, ranked by profit rate. Sectoral VAB sums to ≈ 209.8 thousand M€, matching Portugal's 2022 national accounts total by construction — an accounting identity the pipeline checks and that an earlier, buggy version of this table violated by two orders of magnitude, because it reconstructed a stand-in for VAB as $C_i + V_i + e_i V_i$ (adding a capital *stock* to two flows, the same conflation discussed in Section 3.1) instead of reporting the real underlying series.

Three different summary statistics for the sectoral rates are worth distinguishing, since they answer different questions and can diverge substantially: the simple (unweighted) mean across the 19 sectors is $e \approx 0.89$, $k \approx 24.8$, $r \approx 10.0\%$; the VAB-weighted mean is $e \approx 1.45$, $k \approx 44.2$, $r \approx 10.7\%$; and the properly aggregated rate, $\sum_i S_i / \sum_i (C_i + V_i)$ (summing numerators and denominators separately before dividing, rather than averaging ratios), is $r \approx 6.1\%$. The gap between these is driven substantially by a single outlier, real estate activities ($k \approx 334$), reflecting the well-known effect of imputed owner-occupied rents inflating capital intensity in this sector's national-accounts treatment rather than a genuine production characteristic; it should be discounted when interpreting any of the three summary figures. Four of the 19 sectors hit the $e = 0.1$ floor described in Section 4.3 (business income net of depreciation close to zero or negative relative to compensation) — an imposed value in those four cases, not a purely empirical observation. Excluding real estate, sectoral profit rates range from financial and insurance activities at the top ($r \approx 36\%$) to public administration and utilities near the bottom (r below 2%), a dispersion consistent with the classical expectation that market prices, not labor values, equalize profit rates across sectors of differing organic composition — which Section 5.3 examines directly.

Table 1: Sectoral calibration, Portugal, 2022 (real Eurostat data). VAB is the sector's real gross value added, not a quantity reconstructed from other columns.

Code	Sector	VAB (M€)	e	k	r (%)
K	Financial and insurance activities	11.4	1.51	3.17	36.1
S	Other service activities	2.5	0.62	1.97	20.83
I	Accommodation and food service	13.0	0.86	3.51	19.07
G	Wholesale and retail trade	26.0	0.53	2.05	17.37
A	Agriculture, forestry and fishing	4.6	1.39	8.3	14.98
N	Administrative and support	9.5	0.33	1.28	14.37
F	Construction	10.0	0.33	1.61	12.65
M	Professional, scientific and technical	10.6	0.34	1.79	12.23
C	Manufacturing	30.4	0.53	3.91	10.75
B	Mining and quarrying	0.7	0.65	9.44	6.19
J	Information and communication	10.0	0.22	2.84	5.71
P	Education	11.2	0.1	1.08	4.8
Q	Human health and social work	14.4	0.1	1.93	3.41
H	Transportation and storage	9.8	0.23	6.33	3.13
L	Real estate activities	25.6	8.52	333.82	2.55
E	Water supply, sewerage, waste	2.0	0.34	13.78	2.3
R	Arts, entertainment and recreation	2.1	0.12	4.15	2.29
O	Public administration	14.1	0.1	7.45	1.18
D	Electricity, gas, steam	1.8	0.1	62.91	0.16

5.2 Aggregate profit-rate trend, 1996–2022

Figure 1 shows the aggregate rate of exploitation, organic composition, and profit rate for Portugal over 1996–2022, calibrated entirely from real AMECO series, under two valuation conventions (Section 4.3): the solid line combines AMECO's current-price wage and output series with its constant-price capital-stock series without adjustment (*current-price V, VAB*); the dashed line first deflates the wage and output series onto the same constant-price basis as the capital stock (*deflated V, VAB*), using AMECO's own GDP deflator, with the surplus computed from real consumption-of-fixed-capital data (Section 4.3), not an assumed depreciation rate. Under both conventions the rate of exploitation moves identically, from 0.785 in 1996 to 0.739 in 2022 (ranging 0.68 to 0.91 over the period, dipping sharply in 2020) — *exactly* identically, as the algebra in Section 4.3 requires once Y, V, and the depreciation deduction are deflated by a common index, and as we verify directly (maximum difference across all 27 years: 0, to floating-point precision). This was not the case in an earlier, buggy version of this calibration, where the two conventions diverged sharply ($0.21 \to 0.61$ vs. $0.58 \to 0.57$) — the divergence was itself the symptom of the flat-depreciation bug, not a property of the underlying valuation question, and disappears once the bug is fixed. What remains convention-sensitive is the profit rate, through the capital-advanced denominator $C + V$: under the unadjusted convention it rises modestly from 7.9% to 11.6%; under the GDP-deflated convention it moves from 12.6% to 10.9%; under an investment-deflator convention (`PIGT` in place of `PVGD`, Section 6.1) from 15.0% to 12.3%. Across all three and all 27 years, the profit rate stays within an 8–12% band, rising mildly under one convention and declining mildly under the other two — a real but modest sensitivity, not the near-fivefold artifact the earlier, buggy calibration reported. Figure 2 repeats the GDP-deflated calculation for Spain, using the identical pipeline: the rate of exploitation again moves identically to the unadjusted convention (verified the same way), from 0.85 to 0.76, while the profit rate moves from 12.0% to 9.1% under the deflated convention (vs. 7.9% to 9.6% unadjusted) — the same qualitative picture as Portugal: a real but modest level of convention-sensitivity confined to the profit rate. We discuss the implications of this in Section 6.1.

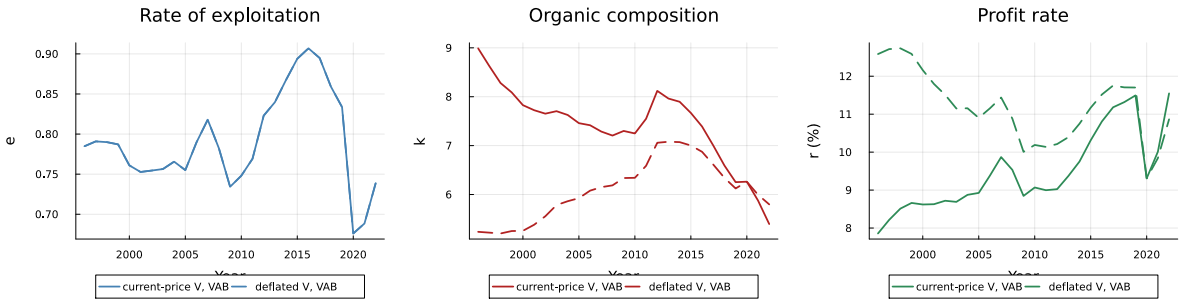


Figure 1: Rate of exploitation, organic composition, and profit rate, Portugal, 1996–2022 (real AMECO data), under current-price and valuation-consistent (deflated) conventions.

5.3 The transformation problem on the real economy

Figure 4 compares labor values with Sraffian production prices computed on the real calibrated matrix, for three empirically plausible uniform profit rates ($\bar{r} = 5\%, 10\%, 15\%$). We deliberately do not plot against fractions of $R_{\max}$: the matrix's maximum feasible rate is $R_{\max} \approx 691\%$ for this economy, implausibly high for a real profit rate and itself a symptom of the low spectral radius ($\rho(A) \approx 0.13$) flagged as an open question about the matrix construction in Section 6.2; plotting at, say, $0.3R_{\max} \approx 207\%$ would make the transformation effect visually striking but at a profit rate with no empirical meaning. We checked, without including a second figure, that

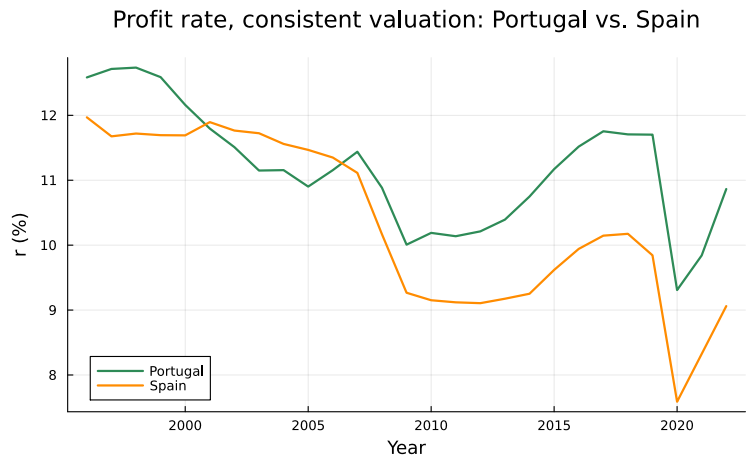


Figure 2: Profit rate under the GDP-deflated convention, Portugal vs. Spain, 1996–2022 (real AMECO data).

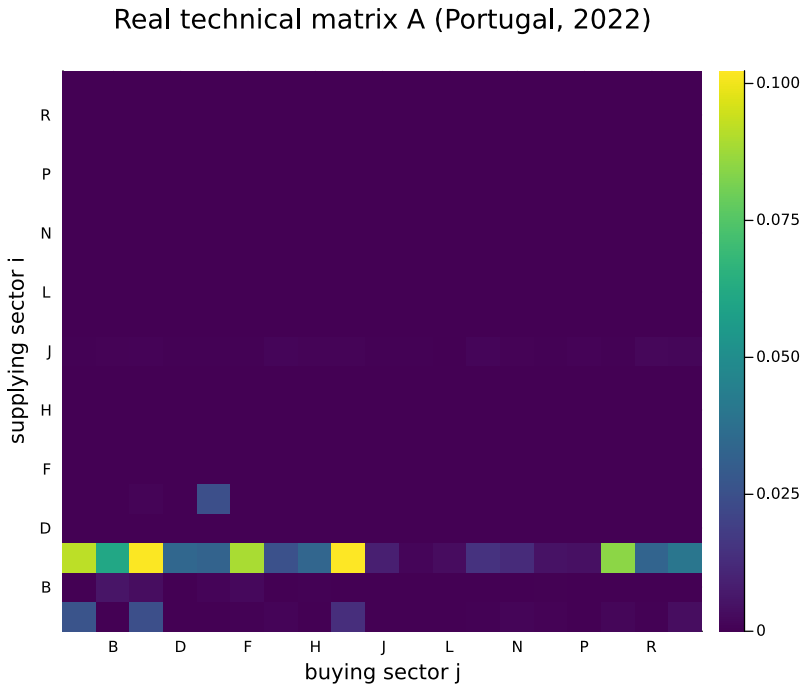


Figure 3: Real technical matrix A, Portugal, 2022 (19 NACE sections).

the qualitative pattern below is unchanged at those higher fractions of $R_{\max}$; the concern about the matrix's plausible scale is a separate, open issue from whether the transformation-problem mechanics themselves are implemented correctly. As $\bar{r}$ rises, sectors with above-average organic composition see their production price rise relative to their labor value, and vice versa, the qualitative signature the transformation problem predicts, now shown on a real rather than a randomly generated technical structure. The comparison is qualitative only: labor values are expressed in labor-time units and production prices in the wage-numeraire monetary units of Equation 2, and we do not fix an explicit monetary expression of labor time (MELT) to convert between them. Figure 4 therefore reports each series normalized to sum to one and compares relative deviations, which is sufficient to display the sign and ordering of the transformation effect but does not license a literal price-value comparison in a common unit — a well-known difficulty in empirical Marxian value theory [Freeman and Carchedi, 1996, Basu and Manolakos, 2013].



Figure 4: Labor values vs. Sraffian production prices, real technical matrix, Portugal 2022, at three illustrative profit rates.

5.4 Illustrative comparison of coupling mechanisms

Because no real per-sector accumulation time series exists to calibrate the dynamic coupling mechanisms of Section 3.3 empirically, Figure 5 illustrates their qualitative behavior on a synthetic six-sector economy under a common random technical matrix and seed. Capital mobility alone reduces cross-sector profit-rate dispersion over time, as expected. Adding the aggregate realization-pressure term leaves the qualitative picture largely unchanged in this run. Adding exact quantity rationing instead *increases* final dispersion relative to mobility alone in this particular random economy: rationing can prevent the mobility term from fully equalizing rates when a high-profit sector's own suppliers cannot support the investment mobility would otherwise direct there. We report this honestly as an example of the mechanism's behavior rather than evidence that rationing systematically increases or decreases dispersion in general — the result is specific to this synthetic economy's random technical structure, and a systematic characterization across many random economies is left for future work.

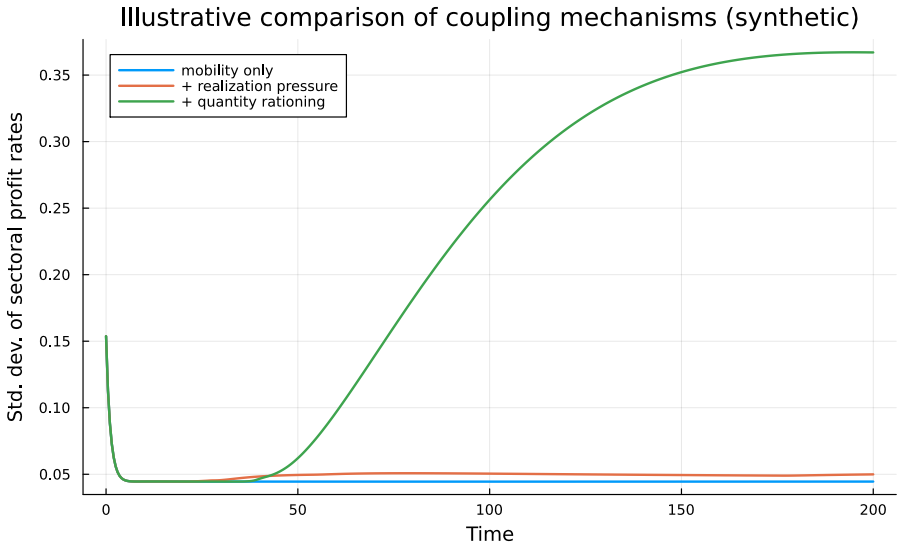


Figure 5: Cross-sector profit-rate dispersion over time under three coupling mechanisms (illustrative synthetic economy, not calibrated to real data).

6 Discussion

6.1 Two bugs, not one: a stock-flow conflation and a valuation artifact

A first pass at the raw AMECO series appears to show a profit rate rising sharply for Portugal over 1996–2022, driven by an organic composition that falls even as the rate of exploitation nearly triples. This is the pattern we originally reported. It does not survive a closer look, and tracing why it does not survive turned out to require finding two separate defects, not one.

The first defect was in the model, not the data. Gross output throughout MarxKapital was computed as $O_i = C_i + V_i + S_i$ (Section 3.3), adding a capital *stock* to two annual *flows*; the aggregate AMECO calculation used the same conflation implicitly, deducting a flat 10% of the (constant-price) capital stock as "depreciation" from a current-price surplus. External review of an earlier draft caught this. It matters here specifically because the flat-depreciation term breaks an algebraic identity that should otherwise hold: if Y (output) and V (wages) are both deflated by a common price index, $e = (Y - V)/V$ is invariant under that deflation — the common factor cancels. Once a depreciation term denominated in a *different*, unscaled basis (the constant-price capital stock) is subtracted from the numerator, that invariance breaks, and it breaks in a way that depends on how much the deflator itself has moved — which changes over 26 years of cumulative inflation, producing not just a level shift between conventions but a diverging *trend*. This, not a genuine valuation difference, is what generated the original $e : 0.21 \to 0.61$ figure.

We fixed the underlying conflation directly (Section 3.1, Section 4.3): output-facing formulas now use $\delta_i C_i$ (capital *transferred* in a period) rather than C_i (capital *advanced*, a stock), and the aggregate calculation now uses AMECO's own consumption-of-fixed-capital series rather than an assumed rate. The predicted consequence is checkable, and we checked it directly rather than asserting it: with the fix, $e = (Y - V)/V$ is now *exactly* identical between the unadjusted and GDP-deflated conventions for every year in the 1996–2022 series, for both Portugal and Spain (Section 5.2). This is not a small improvement in agreement — it is exact equality to floating-point precision, which is what the algebra predicts once the numerator and denominator share a common deflation factor, and is the strongest kind of internal-consistency check a reader could ask for: not "the numbers look more reasonable now," but "the two conventions are now provably required to agree, and they do."

The second, genuine question is the one we originally set out to answer: does AMECO's capital stock (constant-price) versus wage and output series (current-price) distort the measured

profit rate once the depreciation bug is out of the way? It does, but modestly. Portugal's profit rate now sits in an 8%–12% band across three deflation conventions over the full period (Section 5.2) — rising mildly from 7.9% to 11.6% unadjusted, declining mildly from 12.6% to 10.9% under the GDP deflator, and from 15.0% to 12.3% under an investment-goods deflator. We checked the investment-deflator variant specifically because AMECO's capital stock is a chain-linked series built from investment flows using an investment-specific price index (`PIGT`), not the general GDP deflator (`PVGD`); the two give different *levels* but the same qualitative shape (mild decline), evidence the residual sensitivity is not an artifact of which deflator was picked. Applying the GDP-deflated convention to Spain (Figure 2) shows the same modest pattern: a profit rate moving from 12.0% to 9.1% against 7.9% to 9.6% unadjusted. We do not read either country's series as proof of a general tendential pattern from a two-country, single-source comparison; national-accounts profit-rate estimates remain sensitive to depreciation conventions and sectoral composition, discussed further in Section 6.2. We also could not find, and do not believe AMECO publishes, a current-price (replacement-cost) capital-stock series that would let us skip deflation entirely and compare all three quantities at a common current-year valuation, which would be the cleanest check in principle.

We report the full sequence — the original artifact, the stock-flow bug that substantially manufactured it, the fix, and the smaller genuine sensitivity that remains — rather than only the corrected numbers, because the sequence is the more durable methodological finding here: an automated pipeline that conflates a stock with a flow, or mixes valuation conventions across variables pulled from the same database, can each independently manufacture a statistically salient but spurious trend, and the two can compound. Disaggregating the corrected aggregate trend by sector, and comparing it against the 2022 cross-section of Table 1, is beyond the scope of this paper — complicated further by the single-year nature of the sectoral calibration versus the time-series nature of the aggregate result — and is left for future work.

6.2 Limitations

We report limitations transparently, following the same practice as the package's own documentation.

Default behavior remains synthetic. Both calibration paths default to synthetic data or fixed sectoral weights; every real-data result in this paper required explicit opt-in flags. This is a deliberate design choice to keep the package's automated test suite fully offline, not a limitation of the real-data pipeline itself, but it means synthetic results should never be mistaken for empirical ones when using the package's defaults.

Single-rate depreciation. The perpetual-inventory capital-stock option (Section 4.3) uses one depreciation rate per sector, not differentiated by asset type. Eurostat publishes investment by asset type for the relevant dataflow, but not the corresponding asset-specific depreciation profiles, which would be needed for a fully differentiated perpetual-inventory calculation.

No microfoundation for final demand. The quantity-rationing mechanism of Section 3.3 constrains reinvestment demand through the technical matrix but does not model how aggregate consumption demand is allocated across sectors, since no data source in the current pipeline provides sector-of-origin consumption baskets. The mechanism should therefore be read as constraining the investment-goods side of reproduction specifically, not final demand in general.

Coarser sectoral aggregations inherit a data-quality caveat. When the technical matrix is aggregated from 19 to 3 macro-sectors, the tertiary (services) row is conservative because it inherits reduced intermediate-flow estimates for the trade and transport sub-sectors, whose margin-accounting convention we clip at the finer resolution before aggregating (Section 4.2); the coarser matrix is non-negative and usable, but likely understates services' true role as an input supplier to other sectors.

Limited robustness and sensitivity analysis. We report the aggregate trend under three valuation conventions (unadjusted, GDP-deflated, investment-deflated; Section 5.2 and Section 6.1)

and for two countries (Portugal and Spain), which is enough to show the corrected finding is not a single-country, single-deflator artifact, but not enough to establish a general pattern across peripheral EU economies, nor to rule out sectoral composition effects that an aggregate series cannot separate from a genuine average-rate change. The sectoral profile (Table 1) still uses a single set of choices: net capital stock rather than perpetual-inventory, and, for the coupling mechanisms of Section 3.3, a single value of the mobility coefficient μ and a single random seed for the synthetic illustration; a systematic sweep across many random technical matrices (rather than the single seed used in Figure 5), reporting convergence rates, iteration counts, and dispersion outcomes as a distribution rather than a point estimate, is left for future work. Section 3.3 establishes that a fixed point always exists (Brouwer), explains structurally why undamped iteration oscillates rather than converges (the map is antitone), gives direct empirical evidence of practical uniqueness under variation in initial conditions, sector ordering, and tolerance in one genuinely-rationed test case, and shows the default damping annihilates the dominant local error mode exactly in the closed-form two-sector case. What remains open is a uniqueness *proof* and a global convergence-*rate* guarantee across all admissible (A, σ, S, O) and initial conditions — and Section 3.3's own negative result suggests the obvious route to the latter, a global Lipschitz bound in the spirit of $\rho(A) < 1$, cannot supply it: we showed algebraically that its tightest admissible form always exceeds 1 whenever any sector is actually rationed. Closing this gap, if it can be closed at all, likely requires a different technique — possibly exploiting the antitone structure directly (e.g. bounding $F \circ F$) rather than a Banach-style argument on F itself — and we continue to rely on the empirical evidence above for the general case in the meantime.

The technical matrix construction has not been fully audited. Section 4.2 describes clipping negative margin-accounting cells to zero before aggregation, but we have not reported the total magnitude clipped, which cells and sectors are affected, or the effect on column sums and the matrix's spectral radius; nor have we validated the 19-sector matrix's row and column sums against Eurostat's own published totals, or documented the CPA-to-NACE concordance between the product-by-product symmetric table and the industry-organized sectoral accounts it is combined with, or distinguished a domestic-use matrix from a total-use matrix (imported intermediate inputs are not currently modeled as distinct from domestically-supplied ones). The matrix's very low spectral radius ($\rho(A) \approx 0.13$, implying $R_{\max} \approx 691\%$, Section 5.3) is plausible but unusually low for an economy-wide input-output matrix, and we flag it here as a genuine open question about whether the construction under-states intermediate-input intensity, rather than asserting the matrix is correctly scaled. A full audit against published row/column totals, with an explicit accounting-reconciliation assertion built into the pipeline (failing loudly if sectoral aggregates do not reconcile with national totals, in the spirit of the VAB check in Section 5.1), is the most important remaining item of future work on the empirical side of this paper.

The mobility term's conservation properties are unresolved (Section 3.3): $\sum_i \mu(r_i - \bar{r})C_i$ need not vanish under the model's definition of $\bar{r}$, so capital mobility may not purely reallocate aggregate constant capital. *The rationing mechanism's demand term treats planned investment expenditure as if it required the same input mix as a unit of physical output*, an explicit simplifying assumption (Section 3.3) rather than a derived capital-output relationship, and treats the full sectoral supply O_i as available for investment before intermediate replacement and consumption demand are met — overstating investable supply, in the same direction as, and compounding, the final-demand microfoundation gap noted above.

Reproducibility is live-query reproducibility, not archival reproducibility. Every result in this paper is produced by re-running `gerar_resultados.jl` against the live Eurostat and AMECO SDMX APIs (Availability, below), which is re-runnable but not immune to retroactive revisions in the underlying series, dataset vintages, or API structure — a live query today is not guaranteed to reproduce a number reported here indefinitely. A stronger reproducibility architecture would pair a tagged package release with cached raw API responses (or a frozen archival snapshot, e.g. on Zenodo) alongside the live-query path, letting a reader choose between reproducing this

paper's exact reported numbers from frozen data and refreshing the analysis against current data; we have not built this yet.

7 Conclusion

MarxKapital demonstrates that a real, live, officially sourced data pipeline for Marxian value-theoretic calibration is practical using current European statistical infrastructure, and that an exact per-sector quantity-rationing mechanism — solving a genuine fixed point, though not imposing hard market clearing at every instant (Section 3.3) — can be added to a reproduction-schema model without the numerical overhead of a formal differential-algebraic formulation. Applied to Portugal and Spain, the pipeline surfaces — and lets us diagnose and fix — two distinct measurement problems: a stock-flow conflation in the model's own output formula, caught by external review, and a resulting valuation artifact in the aggregate profit-rate series that we had originally overstated because of it. Corrected, the underlying trend is real but modest — an 8–12% band for Portugal across three deflation conventions, not the near-fivefold swing an earlier, buggy version of this calibration reported. We think this exercise is itself a useful illustration of what a live, multi-source statistical pipeline buys a computational Marxian model: not just convenience, but the ability to catch exactly this kind of measurement and modeling error before it is mistaken for an economic finding — provided the pipeline is checked as carefully as the theory it implements. Extending the valuation-consistent comparison to more economies, auditing the technical matrix construction more thoroughly, and archiving frozen data snapshots for stronger reproducibility guarantees (Section 6.2) are left for future work.

Availability

MarxKapital is released under the MIT license. The complete source code, including the empirical pipeline described here, is available at `https://github.com/randsley/MarxKapital`. Every figure and table in this paper is produced, without manual editing, by `paper/gerar_resultados.jl`, which performs live queries against the Eurostat and AMECO SDMX APIs; re-running it reproduces this paper's results from the same official data sources.

References

Robert J. Barro and Herschel I. Grossman. A general disequilibrium model of income and employment. *American Economic Review*, 61(1):82–93, 1971.

Deepankar Basu and Panayiotis T. Manolakos. Is there a tendency for the rate of profit to fall? econometric evidence for the u.s. economy, 1948–2007. *Review of Radical Political Economics*, 45(1):76–95, 2013.

Jean-Pascal Bénassy. Neo-keynesian disequilibrium theory in a monetary economy. *Review of Economic Studies*, 42(4):503–523, 1975.

Gérard Duménil and Dominique Lévy. *The Economics of the Profit Rate: Competition, Crises, and Historical Tendencies in Capitalism*. Edward Elgar, 1993.

European Commission, Directorate-General for Economic and Financial Affairs. Ameco database. `https://webgate.ec.europa.eu/ecfin/redisstat/api/dissemination/sdmx/2.1`, 2026. SDMX REST API, accessed 2026-07.

Eurostat. Symmetric input-output table at basic prices (product by product), naio_10_cp1620. https://ec.europa.eu/eurostat/api/dissemination/sdmx/2.1, 2026a. SDMX REST API, accessed 2026-07.

Eurostat. National accounts aggregates by industry (nama_10_a64). https://ec.europa.eu/eurostat/api/dissemination/sdmx/2.1, 2026b. SDMX REST API, accessed 2026-07.

Alan Freeman and Guglielmo Carchedi, editors. *Marx and Non-equilibrium Economics*. Edward Elgar, 1996.

Karl Marx. *Capital: A Critique of Political Economy, Volume I*. Penguin Classics, 1976. Translated by Ben Fowkes. Originally published 1867.

Karl Marx. *Capital: A Critique of Political Economy, Volume III*. Penguin Classics, 1981. Translated by David Fernbach. Originally published 1894.

Nobuo Okishio. Technical changes and the rate of profit. *Kobe University Economic Review*, 7: 85–99, 1961.

Anwar Shaikh. *Capitalism: Competition, Conflict, Crises*. Oxford University Press, 2016.

Piero Sraffa. *Production of Commodities by Means of Commodities: Prelude to a Critique of Economic Theory*. Cambridge University Press, 1960.